

Business Responsibility Report

SECTION A: GENERAL INFORMATION ABOUT THE COMPANY

1. **Corporate Identity Number (CIN) of the Company:** L51900MH2000PLC126473
2. **Name of the Company:** Avenue Supermarts Limited ("ASL", "The Company")
3. **Registered Office Address:** Anjaneya CHS Ltd, Orchard Avenue, Opp. Hiranandani Foundation School, Powai, Mumbai – 400076.

Corporate Office Address: B-72/72A, Wagle Industrial Estate, Road No. 33, Kamgar Hospital Road, Thane – 400604
4. **Website:** www.dmartindia.com
5. **E-mail id:** suggestion@dmartindia.com
6. **Financial Year Reported:** FY 2021-22
7. **Sector(s) that the Company is engaged in (industrial activity code-wise):** Retail Trade – 47 (Retail Trade, except of motor vehicles and motorcycles)
8. **List three key products/services that the Company manufactures/provides (as on balance sheet)**
 - Foods
 - Non-Foods (Fast Moving Consumer Goods)
 - General Merchandise and Apparel
9. **Total number of locations where business activity is undertaken by the Company:**
 - i. **Number of International Locations:** Nil
 - ii. **Number of National Locations:** As on 31st March, 2022, the Company carries out its business operations through 284 stores located across 10 states, 1 Union Territory and NCR.
10. **Markets served by the Company – Local/ State/ National/ International:** National (India)

SECTION B: FINANCIAL DETAILS OF THE COMPANY

1. **Paid Up Capital (INR):** ₹647.77 crore
2. **Total Turnover (INR):** ₹30,352.50 crore
3. **Total Profit after Taxes (INR):** ₹1,616.17 crore
4. **Total Spending on Corporate Social Responsibility (CSR) as percentage of Profit after Tax (%):** ₹29.13 crores, 1.81% of average profit for previous three years (computation as prescribed by the Companies Act, 2013). Further, ₹2.16 crores has been transferred to Unspent CSR Account as per Section 135 (6)
5. **List of activities in which the expenditure in 4 above has been incurred:** Refer to Annexure IV of the Directors Report.

SECTION C: OTHER DETAILS

1. **Does the Company have any Subsidiary Company/ Companies?**
Yes, the Company has five subsidiary companies as listed below;
 1. Align Retail Trades Private Limited
 2. Avenue E-Commerce Limited
 3. Avenue Food Plaza Private Limited
 4. Nahar Seth & Jogani Developers Private Limited
 5. Reflect Wholesale & Retail Private Limited
2. **Do the Subsidiary Company/ Companies participate in the BR Initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s)**
Align Retail Trades Private Limited, a subsidiary of ASL, participates in relevant BR initiatives of the Company.
3. **Do any other entity/ entities (e.g. Supplier, distributor etc.) that the Company does business with; participate in the BR initiatives of the Company? If yes indicate the percentage of such entities? (Less than 30%, 30–60% and more than 60%)**
No.

SECTION D: BUSINESS RESPONSIBILITY INFORMATION

1. Details of Director/ Directors responsible for BR

a) Details of the Director/ Director responsible for implementation of the Business Responsibility policy/ policies

Name	DIN Number	Designation
Mr. Ignatius Navil Noronha	01787989	Managing Director & CEO

b) Details of the Business Responsibility Head

DIN Number (if applicable)	N.A.
Name	Mr. Rushabh Ghiya
Designation	AVP-Investor Relations
Telephone number	022-3340 0500 / 022-71230500
Email id	suggestion@dmartindia.com

2. Principle-wise (as per NVGs) BR Policy/ Policies

a) Details of compliance (Reply in Y/ N)

[illegible]

3. Governance related to BR

- a) Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, more than 1 year.
The Business Responsibility performance is reviewed annually.

- b) Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

ASL is publishing its Business Responsibility Report as a part of its annual report which is published annually. The Annual Report is available at www.dmartindia.com under the section Investor Relations.

SECTION E: PRINCIPLE WISE PERFORMANCE

Principle 1: Businesses should conduct and govern themselves with Ethics, Transparency and Accountability

1. Does the policy relating to ethics, bribery and corruption cover only the Company? Yes/ No. Does it extend to the Group/ Joint Ventures/ Suppliers/ Contractors/ NGOs/ Others?

The Company has incorporated a policy on Ethics, Transparency & Accountability which is applicable to its Employees, Directors, Business Partners, Business Associates and other relevant stakeholders to conduct business ethically and transparently.

The policy on ethics and transparency acts as a guidance manual for all our stakeholders to conduct business ethically and avoid any breaches related to unfair practices.

The Company has a separate code of conduct for Board Members and Senior Management. The intent of this code is to focus on areas of ethical risk, provide guidance to recognize and deal with ethical issues, provide mechanisms to report unethical conduct and help foster a culture of honesty and accountability.

2. How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so.

ASL as an organisation is conscious about all complaints received from its stakeholders. Through a formal mechanism we address each complaint. Due care is taken to maintain complete confidentiality of all complaints received. Our Senior Management Team is directly involved in all critical complaints. They also periodically review complaints and suggest corrective actions in our internal processes, if required.

Opening Balance	Received (FY 2021-22)	% of complaints resolved (FY 2021-22)
119	41	10.6%

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their lifecycle

1. List up to 3 products or services whose design has incorporated social or environmental concerns, risks, and/ or opportunities.

The Company's principle nature of business is to provide everyday use products to end consumers. However, one of our subsidiary Company procures, processes and repacks certain products which are provided to end consumers through our stores.

It is our constant endeavor to ensure that all laws and regulations related to processing, packaging, labeling are adhered to along with periodic internal quality control checks.

2. For each product, provide the following details in respect of resources (energy, water, raw material etc.) per unit of product.

- (i) Reduction during sourcing/ production/ distribution achieved since the previous year throughout the value chain?

ASL understands the global issue of climate change and has incorporated possible actions to address it. Sustainability is an independent function in our organisation led by Sustainability Officer who leads all our initiatives in this regard.

We strive to obtain Green Building Certification for our stores under Indian Green Building Council (IGBC) or US Green Building Council (USGBC). This year we have further obtained Gold Certified Green Building Certification for 53 additional buildings; taking our total to 152 buildings. This certification is issued by the Indian Green Building Council (IGBC) for 148 of our buildings and U.S Green Building Council (USGBC) for 4 of our buildings. We have thus far obtained 152 certifications in this regard (1 Platinum, 150 Gold, 1 Silver).

Green building refers to both a structure and the application of processes that are environmentally responsible and resource-efficient throughout a building's life cycle: from planning to design, construction, operation, maintenance, renovation and demolition.

There are several factors which are considered for awarding this certification. Some of those are elaborated below in detail (including our efforts within those factors):

- Increase in use of renewable energy by installation of solar plants on rooftop and car ports.
- Use of energy efficient LED lighting system for the existing and new stores.

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- Use of CFC-Free Refrigerants in our Air Conditioning Equipment to reduce emission of greenhouse gases
- Use of BEE Star rated split air conditioners which consume less energy in comparison to conventional air conditioners.
- Reduce the depletion of groundwater by developing rainwater harvesting pits to collect rainwater run-off and harvest it (through groundwater recharge)
- Reduce use & wastage of fresh water by installation of water-efficient fixtures that consume lesser water than the conventional ones.
- Recycling of waste water after treatment through in-house sewage treatment plants reducing fresh water requirement for flushing.
- Use of Pressure Washers which helps in efficient cleaning at significantly lower water consumption.
- Installation of speed breakers that are manufactured using recycled composite materials.
- Use of AAC Blocks with recycled content material in construction.

The plastic packaging and paper waste generated at our stores / packaging units is segregated at source and stored in a secured place.

This waste is then handed over to authorised recyclers. This year in total we managed to hand over more than 20,000 MT of paper waste and more than 1,500 MT of plastic waste for recycling.

Further, we also sustainably disposed post-consumer plastic waste of more than 1,800 MT through authorised channels.

Our endeavour is also to nurture local products and local businesses so that they too can compete with minimal costs to launch their products. At the same time, we have active conversations with our large and organized suppliers on how they could create a positive impact to climate change through innovation.

(ii) **Reduction during usage by consumers (energy, water) has been achieved since the previous year?**

- We have completely stopped sale of plastic carry bags at all our stores. We therefore encourage our customers to carry their own reusable carry bags for shopping at our stores.

- We have installed Sewage Treatment Plants (STP) at stores wherever possible to use recycled water and thereby reduce load on the municipal bodies for fresh water supply. We have 113 STPs across our premises with a cumulative capacity to treat 1,175 kilo liters of water per day. 36.0% of our total water usage at these premises is met through recycled water. We estimate to have reduced usage of 70,452 kilo liters of fresh water in our operations at these 113 premises by recycling treated water.
- To reduce the packaging consumption by light weighting the packaging, the traditional tubs (made of board) used for serving popcorn are replaced by paper pouches. These pouches weigh 1/3rd of the tubs.

Pilot Initiatives commenced during the year:

- We have collaborated with a large FMCG Company to provide a dispenser at one of our stores for certain FMCG products (liquid detergent and fabric softener). Customers can bring their own container and refill using the dispenser and thus reduce consumption of new plastic bottles.

3. Does the Company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced sustainably? Provide details thereof, in about 50 words or so.

The Company has a structured procedure which is followed before collaborating with any business partners/ associates. Our team visits their facilities to assess and evaluate them on health and safety parameters.

ASL is aiming to reduce its fuel consumption in transportation by operating through common distribution centers in vicinity of our store locations, wherever feasible. This minimizes the distance to transport goods to our stores and helps us consolidate multiple trips by individual suppliers to our various stores, thus reducing fuel consumption.

4. Has the Company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

Our endeavour is to nurture local products and local businesses so that they too can compete with minimal costs to launch their products. Local suppliers/ vendors are evaluated based on the quality parameters set by the Company. We conduct business with a large number of Micro, Small & Medium Enterprises across India.

5. Does the Company have mechanism to recycle products and waste? If yes, what is the percentage of recycling waste and products? Provide details thereof, in about 50 words or so.

Owing to the nature of our business we generate very limited amount of waste. The Company has installed sewage treatment plants at stores wherever possible to use recycled water and thereby reduce load on the municipal bodies for fresh water supply. The plastic packaging and paper waste generated at our stores / packaging units is segregated at source and stored in a secured place.

This waste is then handed over to authorised recyclers. This year in total we managed to hand over more than 20,000 MT of paper waste and more than 1,500 MT of plastic waste for recycling.

Further, we also sustainably disposed post-consumer plastic waste of more than 1,800 MT through authorised channels.

Principle 3: Businesses should promote the wellbeing of all employees

1. Please indicate the total number of employees.

Total number of permanent employees is 11,312.

2. Please indicate the total number of employees hired on temporary/ contractual/casual basis.

The total number of employees hired on contractual basis is 40,777.

3. Please indicate the number of permanent women employees.

Total number of permanent women employees is 2,668.

4. Please indicate the number of permanent employees with disability.

Total number of permanent employees with disability is 13.

5. Do you have an employee association that is recognised by management?

The Company does not have any recognised employee association.

6. What percentage of your permanent employees are a member of this recognised employee association?

Not Applicable.

7. Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.

ASL has stringent policies & procedures which are in line with local laws to prevent any kind of forced labour, child labour and sexual harassment at our locations of operations. Some of these processes are:

- We collect valid documents related to age proof. Employment is confirmed only after submission of valid documents which are verified.

- The Company maintains a safe working environment for women employees. We create awareness among all our employees that sexual harassment is a serious misconduct and there are formal mechanisms available for raising complaints.

The details of the no. of complaints received during the financial year 2021-22 are as follows:

Category	No. of complaints received during financial year	No. of complaints pending at the end of the financial year
Child Labour/ Forced Labour/ Involuntary Labour	-	-
*Sexual Harassment	-	-
Discriminatory employment	-	-

*The Company conducted several training sessions for all its employees to create awareness about Prevention of Sexual Harassment during the Financial Year.

8. What percentage of your under mentioned employees were given safety & skill up-gradation training in the last year?

The Company organizes several training programmes for its employees through functional modules. The training content is based on the roles and responsibilities performed by the employees in different grades and departments.

The details of trainings conducted during the financial year 2021-22 are as follows:

Employee category	% of employees that were given safety training*	% of employees that were given skill up-gradation training
Permanent employees	79	78
Permanent women employees	87	85
Casual/ Temporary/ Contractual Employees	70	106
Employees with disability	59	79

*There was some disruption for safety trainings during Q3 of FY 2021-22 due to Covid-19.

In addition to the above, we have given below some supplemental information with regards to the wellbeing of our employees.

Our employees are critical to our business. We internally assess our employees to periodically identify competency gaps and use development inputs (such as skill upgradation training) to address these gaps. We have implemented staff training policies and assessment procedures and intend to continue placing emphasis on attracting and retaining motivated employees.

We continue investing in training programmes and other resources that enhance our employees' skills and productivity. We will continue to help our employees develop understanding of our customer-oriented corporate culture and service quality standards to enable them to continue to meet our customers' changing needs and preferences.

Below are some key highlights:

i. Fair and Transparent Remuneration Policy

We always ensure fair, timely and transparent payment of contractual wages to all our employees, including contract and casual labor. For executive-level employees, certain performance-linked incentives are offered in addition to their fixed salary. Our performance-linked incentives consist of additional remuneration payments determined based on each employee's performance and position.

We have followed transparent management policies and have implemented employee stock option schemes from time to time. Many of our present and past employees hold Equity Shares in our Company.

ii. Learning and Development

We believe that our emphasis on training our employees improve our operations and efficiency as well as our customer service standards. It incentivises and encourages employee loyalty and builds a strong corporate culture. It also enables personal development and career progression for employees.

A significant portion of our mid-level positions are filled internally through promotions and internal job postings. This is enabled through a rigorous and structured multi-year training programme which is backed by certifications that are awarded to employees on completion of their training and evaluations. We have a large in-house team that leads this effort.

We also collaborate with leading institutes and experts to custom design development programmes to help in enhancing leadership development within the company.

Our training curriculums are custom-developed in line with our internal processes, operational procedures and values. Through these programmes, employees receive training on areas such as (i) responsibilities to customers on product quality and customer services; (ii) competitive pricing policies; and (iii) the operational procedures of our stores and regular updates on developments in management and market trends.

During the year, we conducted 479,023 hours of skill upgradation training programmes across all our premises covering more than 42,000 employees.

iii. Employee Safety and Wellbeing

We have a strong emphasis on safety at our premises. We have developed comprehensive safety training programmes covering all aspects of safety. We conduct programmes regularly for all employees at all our premises. This has created a "Safety First" culture within the company. Further, our internal team continuously conducts independent assessments of our premises to ensure a safe operating environment for all employees, customers, partners and our local communities.

During the year, we conducted 536,737 hours of safety training programmes across all our premises covering more than 56,410 employees.

Our permanent employees receive benefits such as medical assistance (including hospitalisation), group accident insurance, annual leave along with leave encashment, maternity leave for women employees, retirement benefits, and relocation allowance among others. All employees are covered for health insurance.

iv. Employee Voice and Engagement

Engaged employees perform better. A conducive and friendly workplace is what inspires employees to deliver on our promise to customers. To understand how we fare as a company, we conduct a Gallup Survey every 2 years. This gives us an insight into how employees perceive our workplace environment and provides us an opportunity to further improve our ways of working.

In addition, each unit manager regularly conducts a briefing session with all employees. These sessions allow the manager to communicate openly with employees and also understand their view points.

We have also engaged a reputed third party which runs an independent Ethics Helpline (Web based complaints, toll-free telephone number, email, fax and post complaints can be logged by all employees). All our employees are free to connect with the helpline. It is ensured that all engagement is completely confidential and is only shared with Senior Management of the Company. This helps employees report any grievance / complaint / issue that they may face at any time during employment. Adequate communication boards are placed at all premises which provides the contact details of this helpline

We have further provided a platform through our website where employees can directly share feedback. This feedback can be shared anonymously and is accessed directly by a small team at the Central Corporate Office. Key points / issues / suggestions are then directly shared with the Management Team to further direct appropriate changes in line with our culture and values.

v. **Adherence to Human Rights**

We have a policy on human rights which is applicable to our employees, suppliers and service providers. The said Policy and its implementation is directed towards adherence to applicable laws and upholding the spirit of human rights.

In line with our commitment to good governance and practices, it is ensured that no person below the age of eighteen years is employed by us. Forced or compulsory labour is strictly prohibited and so is the association with vendors and suppliers who employ child and / or forced labour.

vi. **Equal Opportunity and Diversity**

We provide and maintain equal opportunities during recruitment and active employment for all our employees and partners without any form of discrimination in benefits, training & development and compensation based on any caste, creed, gender, race or religion. We ensure adequate skill upgradation trainings for all employees by providing access to necessary learning opportunities, on an equal and non-discriminatory basis. Further, we are mindful of our local communities in areas where we operate and every attempt is made to provide them meaningful employment with us. This also significantly reduces their commute time to work.

We place significant importance on workplace diversity. Over the years we have taken several steps to improve gender balance within our workforce. 39% of our current store-front employees consist of women. Overall, 28% of store-front supervisory roles are led by women.

We ensure complete adherence to Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. We have put in place suitable mechanisms which ensure appropriate protection to all women employees and effective redressal in case of any issues. All employees undergo an annual awareness programme. We have also ensured regional and central committees to address such issues.

Our company policies ensure fair employment opportunities to differently abled persons across the business. We have 199 employees (permanent and contractual) who are differently abled.

Principle 4: Businesses should respect the interests of, and be responsive to the needs of all stakeholders, especially those who are disadvantaged, vulnerable, and marginalized.

1. Has the Company mapped its internal and external stakeholders? Yes/ No

Yes, ASL has identified and mapped all its key internal and external stakeholders and same are mentioned below;

- a) Customers
- b) Employees
- c) Business Partners/ Associates
- d) Shareholders
- e) Regulatory Authorities/ Bodies
- f) Local Communities in the areas that we operate in

Data Privacy

We are a consumer facing business and hence the privacy of data of all our stakeholders is extremely important to us. We collect information from Stakeholders who choose to provide feedback or express their grievances with respect to their experiences during any interaction with us. All stakeholders have the option to choose to not share their name, contact number, email address and any such personal information. We use this information to improve our services and resolve their queries. We do not share any information collected by us with any third parties or affiliates.

Our Information Security function, led by our Group Chief Information Security and Privacy Officer ensures that we follow stringent security measures to maintain the privacy of any information shared with us submitted by any means. Systems and procedures have been established to ensure that there are no instances of non-compliance resulting in a breach of data privacy. Our privacy policy covers all aspects of data privacy with respect to sensitive information. Periodic assessments are carried out to identify vulnerabilities and threats to assets and determine the controls that need to be put in place.

2. **Out of the above, has the Company identified the disadvantaged, vulnerable & marginalized stakeholders? Yes.**
3. **Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable, and marginalized stakeholders? If so, provide details thereof, in about 50 words or so.**

India has been one of the fastest growing economies in the world. However, socioeconomic problems such as poverty, illiteracy, malnutrition, inadequate healthcare etc. still continue to impact a large section of our society. The government has traditionally been the largest contributor in bridging the social divide. To help India sustain its rapid progress and ensure equitable progress for all it is imperative for the corporate sector to make meaningful impact in the progress of our society.

We believe that as a company we have a unique opportunity and responsibility to make meaningful contributions to the lives of beneficiaries through our structured interventions. The key objective of our Corporate Social Responsibility (CSR) programme is to foster better quality of life and create equal opportunities for supporting economically and socially disadvantaged in our country.

Over the years, our programme has focused on primary education, nutrition, healthcare and sports promotion. We conduct our programme through a combination of strong direct support and meaningful contribution / partnerships with reputed external organisations. We have a large internal team lead by our Head of CSR to manage all our programmes. Further, we have a team of 14 Programme Managers and Associates to focus on each vertical within our interventions.

“School Excellence Programme” is our flagship intervention in the field of primary education. Our mission through this intervention is to work with Government / Municipal / Zilla Parishad Schools (Public Schools) to improve the quality of education and infrastructure at these schools.

We have 9 structured interventions within this programme for which we have directly deployed more than 300 multi-skilled teachers, 30 supervisors, 5 counselors and 3 computer engineers. We strongly believe that access to good quality education to these underprivileged students in their formative years will significantly contribute to their success during adulthood.

Our programme supported students from 6 Municipal Corporations of Mumbai Metropolitan Region (Mumbai, Thane, Navi Mumbai, Panvel, Mira-Bhayander and Kalyan-Dombivali). This year we have additionally increased our reach within the MMR Region (Bhiwandi) and also extended our coverage to two new cities in Maharashtra (Pune and Aurangabad). We cover more than 290 Government / Municipal / Zilla Parishad Schools (Public Schools) across these cities / towns positively impacting more than 125,000 students.

Schools and other learning spaces were shut through most of the previous year and a large part of the current year due to the pandemic. Therefore, there was a significant shift in the learning system to virtual means through the use of audio and video as learning aids. We mobilised our resources from different programmes such as Reading Programme, English for All and Digital Literacy Programme to support our students virtually. We collaborated with the school authorities and assisted them in setting up virtual learning environments and creating appropriate online content to the best of our abilities.

We also recognize that there are several external organizations which are running impactful programmes to support the economically and socially disadvantaged. We have partnered with and contributed to several such reputed external organisations to support our focus within Education, Healthcare and Nutrition.

In addition, each year we carry out independent impact assessments through reputed organisations to gauge the effectiveness of several of our programmes and contributions. A thorough review and analysis of the key findings is undertaken by our team to further improve the impact and effectiveness of our interventions.

A brief overview of our interventions in the School Excellence Programme is given below:

a. Digital Literacy Programme

Computer-aided learning is one of our flagship support programmes. We have set up a Computer Lab in each program school that has up to 21 Computers. 2 Headphones per computer have also been provided

to facilitate audio-video learning. There is also an internet facility available in each Lab. All necessary software required for teaching and the curriculum plans are installed. Entire procurement, maintenance and servicing of the hardware is the responsibility of our technical team. Our curriculum focuses on improving basic computer skills, language and general knowledge proficiency as well as numerical skills. These topics are taught using educational games and interactive tutorials, which simplifies concepts and makes learning enjoyable. Quarterly training sessions are organized for all teachers. With constant feedback, teachers are able to work on their areas of development and deliver content more effectively.

# of Computer Labs	# of Teachers	# of Students Supported
105	210	85,000

b. Library programme

Our library programme provides students with contextual books, which help them inculcate an interest in reading and improves their vocabulary and reading proficiency. The libraries are used as a space to build literacy skills through activity-based learning. Each Library has a teacher who is proficient in several languages. We provide a good collection of books in different languages. The stories are inspiring and relatable to children. The entire curriculum is delivered to children by a dedicated teacher through interactive sessions with pre-reading, reading, and comprehension skills. We ensure that all the teachers undergo comprehensive training that equips them to manage the library as a librarian as well as to conduct the reading program sessions. They are trained in different ways of engaging the children through voice modulation and other techniques.

# of Libraries	# of Teachers	# of Students Supported
90	85	83,000

c. English for All

Our effort in this programme is directed towards teaching students to speak and read English effectively. The entire curriculum is delivered to children through interactive sessions, phonics, and activity-based learning. The curriculum is designed to improve four core skills of the Language - Listening, Speaking, Reading and Writing. This programme is run by well-qualified, competent, and committed teachers who are equipped through rigorous training to teach English to children who come from underprivileged backgrounds.

Apart from the induction training, we train our teachers at an interval of 6-8 weeks led by our in-house Programme team. Our teachers are equipped with the right content and pedagogical skills to achieve desired outcomes.

# of Schools Supported	# of Teachers	# of Students Supported
57	23	13,000

d. Swachh School Abhiyan

Through this programme, we aim to foster a culture of cleanliness and personal hygiene at school premises. We encourage schools to maintain a high standard of cleanliness through competitive grading among them. This has motivated all schools to maintain their facilities and promote cleanliness amongst students. We have developed 8 criteria to grade schools in areas of cleanliness related to Classrooms, Drinking water area, Toilets, Mid-Day meals, Floor, Dustbin, Head Master room and personal hygiene of Students. Our supervisors are trained to do meticulous monitoring of school premises and accordingly assign grades to schools. This program has enabled to successfully advocate the importance of cleanliness which has enabled schools to participate and win state level prizes in cleanliness.

# of Schools Supported	# of Supervisors	# of Students Supported
184	5	67,000

e. Building as a Learning Aid (BALA)

We have seen the positive impact of a well-designed and colorful workplace, and our BALA initiative replicates this concept in public schools by designing and improving the aesthetics of the school premises. BALA aims to foster a child-friendly environment in schools by stimulating the curiosity among students to learn and remember easily through vibrant visuals. Our BALA paintings are created to be contextually sound and visually appealing. Our main themes include school details on the outside of the building, values and mindsets, good habits, sustainable actions, vocabulary, academic concepts, maps, inspirational quotes spread across staircases, pillars and corridors. Additionally, we also have theme-based paintings especially done to complement our Digital Literacy program and Reading Program, that are done in all computer labs and reading rooms where we have our interventions.

# of Schools Supported	# of Students Supported
290	125,000

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f. **Remedial classes**

Remedial Classes are conducted beyond school hours across select schools in Mumbai and Navi Mumbai region covering Grade 9 and 10 students by focusing on the key subjects of Mathematics, Science and English. Our core objective of this programme is to enable students to perform well in their Board exams and also build a strong foundation for their higher education. During the academic year 2021-22, the programme operated in a Hybrid model of online and offline classes. There were numerous training sessions for teachers where they deep dived into curriculum planning and efficient strategies of assessment in order to help students achieve grade level learning in the key subjects. We also partnered with experts to create career awareness among students of several public schools.

# of Schools Supported	# of Teachers	# of Students Supported
28	29	3,500

g. **Public Private Partnership (PPP) model Schools (2 Public Schools covered)**

Our PPP Model Schools in partnership with Thane Municipal Corporation (TMC) have the vision of transforming school education in Thane Municipal schools by providing holistic education to the students. For the academic year 2021-22, our team of 12 dedicated teachers and staff ensured the best learning experience for a batch of 250 students using creative pedagogy, continuous assessments and technology aided classrooms. While conducting classes in a hybrid model due to the pandemic, we also managed to provide access and exposure to students through various celebrations like Science Day, Marathi Diwas etc along with building career awareness of students through sessions conducted by an external expert partner. We have achieved 100% pass percentage for all students in both our schools in the State Secondary Certificate (SSC) examination during the recently concluded academic year.

# of Schools Supported	# of Teachers	# of Students Supported
2	12	250

h. **Physical development through sports programme**

Sports play an important role in the holistic development of the students. Creating a strong foundation in the formative years provides a realistic chance of building excellent sportspersons for the future. Our Sports Programme has two segments – 'Sports and Play' and 'Sports Centre'. 'Sports and Play' is focused on building motor skills and basic fitness for students of Grades 1-5 through engaging games which ensures maximum participation and development of Sportsmanship Spirit. Sports Centre on the other hand

focuses on specific sports such as Wrestling, Kabbadi and Judo where reputed and experienced coaches develop the students for various Sports Tournaments at various levels in the country. During 2021-22, our team of dedicated coaches and trainers conducted online sessions and shared fitness videos on a daily basis to keep the enthusiasm for sports and fitness among students.

# of Schools Supported	# of Coaches	# of Students Supported
15	20	5,500

i. **Parent Engagement Programme**

This programme aims to engage parents in their child's overall development. Our team of counselors conduct parent meetings in schools on key topics to address the gap in development needs of their children. The team continued to engage with the parents through the online platforms during the pandemic. The main theme of the meetings was to impart the importance of education, nutrition and the various ways in which a parent can take interest in a child's education and be a positive support for the children. Regular discussions and meetings were organized with the team throughout the year along with feedback calls with select parents to understand the effectiveness of these meetings.

# of Parent meetings conducted	# of Counselors	# of Parents reached
406	3	12,000

External Programmes

a) **Education**

i. **Dakshana Foundation, Pune**

Dakshana is a non-profit organization that helps under privileged students, predominantly from rural India, to prepare for IIT and medical entrance (NEET) exams through a residential programme. They have been offering free coaching scholarships for competitive exams such as JEE/NEET/AIIMS for over 13 years. Over the years, Dakshana has sponsored 6200+ scholars, of which 2,400 scholars have been admitted to IITs, 1,000 to the NITs and over 600 have been admitted to government medical colleges. DMart has been supporting Dakshana for the past two years and has continued the association this year to sponsor Dakshana's scholarship programme.

ii. **Indian Institute of Technology, Mumbai**

Indian Institute Of Technology, Mumbai and DMart Foundation have collaborated to provide scholarship support to undergraduate students and fellowship support to M.Tech and Ph.D students to promote educational, scientific research and promote human resources

development in the field of advanced science and technology. Additionally, this collaboration will enable to nurture start-up ideas and promote entrepreneurship development at IIT-Mumbai.

iii. **Shanti Bhavan, Bangalore**

Shanti Bhavan aims to provide holistic quality education and empower children from underprivileged backgrounds. Their residential program provides 17 years of educational intervention, from age 4 to 21 years, catering to emotional development, mental and physical fitness, social and cognitive growth and academic excellence of children. We have extended our support to their programme that helps educate underprivileged children

b) Healthcare

i. **The Assam Cancer Care Foundation (a partnership between the Government of Assam and Tata Trusts)**

Under their cancer care initiative, Tata Trusts is engaged in setting up and/or equipping cancer care hospitals at different locations to make cancer treatment more easily accessible and affordable, particularly to the patients from the economically weaker sections of the society. With the aim to strengthen the government system and holistically transform cancer care in the country, we have collaborated with them to support their Cancer Program in Assam, thereby reducing patient load at key cancer centres elsewhere. The trust recently inaugurated 7 hospitals in Assam. We have supported a hospital at Jorhat, Assam by providing medical equipment for radiotherapy treatment and improving the overall quality of cancer treatment.

ii. **CanCare Trust, Mumbai**

CanCare Trust, Head and Neck Cancer Institute of India aims to build a hospital specializing in treating patients with head and neck cancer. 20% beds will be available for needy patients without any treatment cost. The hospital will also act as a training, education and research institute. One of India's most respected surgical oncologists, Dr. Sultan Pradhan is heading the project. This facility is expected to reduce the patient load in Tata Memorial Hospital, Mumbai. We have collaborated with CanCare trust to strengthen the infrastructural needs of the project.

iii. **Support to Hospital Trusts - Mumbai, Palghar and Aurangabad**

We have collaborated with Dr. Hedgewar Hospital, run by Dr. Babasaheb Ambedkar Vaidyakiya Pratishthan Charitable Trust, Aurangabad to help

them strengthen their capacity of oxygen beds. This has been a lifesaving facility for hundreds of critical Covid-19 patients coming from 10 districts of Aurangabad region. We have further supported Dr. M. L. Dhawale Memorial Trust (MLDT) Health Care & Community Services to install Solar Power system at Bhopoli to supplement grid electricity supply. Additionally, we have supported in providing medico-surgical equipment at Mahavir hospital and physiotherapy equipment at Palghar hospital serving geriatric and differently abled children.

Social Service League's Charitable Eye and General Hospital, Kalyan is providing a dedicated service in the field of healthcare, especially in ophthalmic treatments for over 90 years. We have partnered with the charitable hospital to further the process of upgradation, redevelopment and introduction of various new activities.

c) Nutrition

i. **Akshaya Patra**

Akshaya Patra is a not-for-profit organization that runs Mid-Day Meal Programme to feed millions of children in India who lack the means but have the zeal to learn and achieve. By feeding them one wholesome meal a day, they intend to provide them the nourishment and motivation they need to pursue an education for a better future. As a support to this initiative, we have sponsored a large new kitchen with latest equipment over the last 2 years in Mumbai Metropolitan Region (MMR) to support and feed 23,000 children with Mid-Day meal at 121 Zilla Parishad Schools. The kitchen has commenced operations in April 2022, and we will continue to sponsor the cost of meals made here.

ii. **Seva Mandir, Udaipur**

Seva Mandir is a non-profit organization that has been working for the betterment of marginalized communities for over 54 years. In order to address the early childcare needs of underprivileged children, Seva Mandir has been running Balwadis, a full day child care center, since 1984. The Balwadis caters to children in the age group of 1-5 years with key focus on daycare, pre-school education and health. These Balwadis are run by locally recruited women, rigorously trained by Seva Mandir, in remote areas of South Rajasthan. At present, Seva Mandir, in close collaboration with communities, is running 160 Balwadi centers catering to about 4,600 children in Udaipur and Rajsamand District. 10 Balwadis in Badgaon and Girwa blocks of Udaipur district are supported by us. This has benefitted more than 290 children and 218 mothers/caregivers from marginalized

communities.

Principle 5: Businesses should respect and promote human rights

1. Does the policy of the Company on human rights cover only the Company or extend to the Group / Joint Ventures / Suppliers / Contractors / NGOs / Others?

The Company has framed a policy on human rights, which is a guidance document for its Employees, Business Partners/ Associates and other relevant stakeholders.

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?

During the FY 2021-22, the Company has not received any complaints from stakeholders in this respect.

Principle 6: Business should respect, protect, and make efforts to restore the environment

1. Does the policy related to Principle 6 cover only the Company or extends to the Group / Joint Ventures / Suppliers / Contractors / NGOs / others?

The Company has a defined Environment Policy which is a guidance document for its Employees, Business Partners/ Associates and other relevant stakeholders to encourage them to adopt more environment friendly and safe business practices.

2. Does the Company have strategies/ initiatives to address global environmental issues such as climate change, global warming, etc.? Y/N. If yes, please give hyperlink for webpage etc.

We continue to strengthen our approach to sustainability through various means that would have a meaningful long term positive impact to our company, its employees, the environment and all other stakeholders. Considering the overall development of the country, the emission per person and the nature of our business model, we have developed a matrix for our go to market strategy on sustainability. It is an approach that is practical and appropriate. It is not aggressive or path breaking, however it is contextual to deliver incremental results over a long period of time. Our fundamental business model thrives on the principle of doing more with less. Value retail is more supply chain than retail. Our ability to deliver good quality products in the most efficient manner and in a conducive environment to our end consumer is the bedrock on which the business model was created and further strengthened. We like bulk at every step of the process – bulk in procurement, bulk in movement of goods and bulk in buying behavior of our shoppers. It is our endeavour to make customers come to our store less often but buy significantly more than they would buy at any other retail store. This approach helps us create capacity to serve more customers per day. A customer buying a very large quantity of goods once or twice a month is also significantly

better for the climate than 10 quick deliveries a week of small value items at the doorstep.

Both types of need exist and hence multiple formats of retail evolve. However, we like to play in the bulk buying need sector. This invariably needs a lot of hard work from our employees and partners, precision systems and a competent workforce.

Hence our focus on recruiting locals in every location and then upskilling them and grooming them to become leaders of tomorrow is very intrinsic to our model of efficient operation and long-term competitive advantage. Our endeavour is also to nurture local products and local businesses so that they too can compete with minimal costs to launch their products. At the same time, we have active conversations with our large and organized suppliers on how they could create a positive impact to climate change through innovation. We have just begun this journey and we hope to make good progress over time. Our purpose to deliver good products also means we make significant attempts to enhance the quality of products such that they have durability and long-lasting capability while also delivering great value to the shopper. Our view on quality is that it is relative to the evolution of the customer in that state or city. It is our constant attempt to nudge the customer to choose wisely, such that in the long term they get great value by choosing good quality products.

Our commitment to making improvements towards the environmental situation is reflected in increasingly getting our locations certified under Green Building movement in India - 151 buildings of the Company have achieved either Platinum or Gold certification under USGBC / IGBC. That apart, our footprint decisions consider optimal use of resources and it is our earnest attempt to minimize adverse environmental impact.

We have integrated consolidation of buying and transporting merchandise through our large distribution centers into our model as opposed to being delivered in small lots to our various stores by vendors, increasing deployment of vehicles using greener fuel; continually increasing use of solar energy; fresh water conservation practices viz. use of sewage treatment plants, waste water recycling, rain water harvesting; responsible disposal of plastic waste and electronic waste; choice of sustainable building materials as few major initiatives that help us conserve key resources. We also have a very large installation of an IOT ecosystem that monitors many of our energy consuming equipment and recommends basis alerts on early warnings of possible breakdowns and energy conservation possibilities.

Our first few steps on Sustainability have been to identify a few key ideas and go ahead and implement them. We are now in the process of building systems to measure, monitor and then define and design the direction on other aspects of

sustainability. Our belief is that Sustainability has to be intrinsic to our business model. Unless there is an economic model to Sustainability, it won't last too long. The Sustainability Matrix that we have defined for ourselves is the culmination of that deliberation and crystallisation of the direction we want to take to achieve our goals. In order to achieve these targets, we have established management systems which entail regular monitoring of KPIs, development of an environmental management plan and reviewing progress on a regular basis.

We have appointed a Sustainability Officer who is responsible for periodic review of material issues, scanning the external environment for evolving sustainability trends and regulations, monitor the progress on sustainability targets and facilitating in implementing sustainability initiatives. It is our firm belief that a far more sustainable world for the future will be led by a congruence of efforts – regulatory, economic, best-in-class practices by our company, our suppliers and most importantly by our shoppers through the choices they make while shopping with us.

We strive to obtain Green Building Certification for our stores under Indian Green Building Council (IGBC) or US Green Building Council (USGBC). This year we have further obtained Gold Certified Green Building Certification for 53 additional buildings; taking our total to 152 buildings. This certification is issued by the Indian Green Building Council (IGBC) for 148 of our buildings and U.S Green Building Council (USGBC) for 4 of our buildings. We have thus far obtained 1 Platinum, 150 Gold and 1 Silver certifications in this regard.

Green building refers to both a structure and the application of processes that are environmentally responsible and resource-efficient throughout a building's life cycle: from planning to design, construction, operation, maintenance, renovation and demolition.

There are several factors which are considered for awarding this certification. We have taken following initiatives under this certification to follow environmentally friendly practices:

- **Energy conservation**

- Renewable Energy Usage: We have installed solar panels on roof tops at existing and new stores. 145 sites have solar panels installed on their roof tops and 1 Carport (Solar Panels above Car Parking) is installed with a total commissioned capacity of 17.4 MW. Collectively, 17.1% of our total power requirement at these stores was met through Solar Power. Subject to on-ground

feasibility, it is our endeavor to ensure that all our new premises have a solar plant installed. In addition, we have carried out a feasibility study for all our existing non-solar stores and distribution centers to retrofit a solar plant. Thus far we have added an installed capacity of 2.0 MW in 11 existing stores and distribution centers.

- Energy efficient lightings: For conservation of energy we use LED lighting fixtures and have also tried usage of solar tubes at one of our stores.
- Use of BEE 5-Star Equipment's: The Company uses BEE 5-Star rated split air Conditioners which consumes less energy in comparison to conventional air- Conditioners.

- **Water conservation:**

Water is a critical resource to conserve. To reduce fresh water requirements, we have taken various initiatives like

- Installation of water efficient fixtures in all its green buildings.
- 113 Sewage Treatment Plants with a cumulative capacity of 1,175 Kilo liters of water per day are installed across our premises to treat and recycle waste water for flushing. 36.0% of our overall water needs at these stores was met through recycled water
- We estimate to have reduced usage of 70,452 kilo liters of fresh water in our operations at these 113 premises by recycling treated water
- Development of Rainwater Harvesting system with 267 pits / tanks that has an estimated capacity of 6,675 cubic meters per day
- We have also started using Pressure Washers at our premises. Water is released with pressure from the nozzles of this equipment which helps in efficient cleaning at significantly lower water consumption. Further, the equipment also has an integrated auto-stop system which enhances energy efficiency.
- **CFC-free refrigerants:** We use CFC free refrigerants

in Air-conditioning equipment, which reduces release of CFCs in atmosphere which is one of the major contributors for greenhouse gases.

- **Use of Sustainable materials for construction:** Sustainability is by design for construction of stores. We encourage local sourcing and use of AAC blocks with Recycled content in place of conventional building materials.
 - **Ready Mix Concrete:** We strive to procure RMC from a location which is close to our site, reducing its transportation and thus emissions. Additionally, we encourage usage of fly-ash (within permitted limits) in RMC which is used in construction of building.
3. **Does the Company identify and assess potential environmental risks? Y/ N**
 ASL assesses the potential impacts of its operations on the environment through implementation of the Environment Policy.
 4. **Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if yes, whether any environmental compliance report is filed?**
 We do not have any projects registered under Clean Development Mechanism.
 5. **Has the Company undertaken any other initiatives on-clean technology, energy efficiency, renewable energy, etc. Y/N. If yes, please give hyperlink for web page etc.**
 Please refer to the "Energy Conservation" section of question 2 of Principle 6 on page 88.

Principle 7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner

1. **Is your company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with:**
 ASL is a shareholder of Retailers Association of India (RAI).
2. **Have you advocated/ lobbied through above associations for the advancement or improvement of public good? Yes/ No; if yes specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others)**

ASL understands the improvement and advancements of the industry in interest of public good. Our endeavor is to co-operate with all Government bodies and policy makers in this regard.

Principle 8: Businesses should support inclusive growth and equitable development

1. **Does the Company have specified programmes / initiatives / projects in pursuit of the policy related to Principle 8? If yes details thereof.**
 Please refer to question 3 of Principle 4 on page 84.
2. **Are the programmes / projects undertaken through in-house team / own foundation/ external NGO / government structures / any other organization?**
 We have a large internal team lead by our Head of CSR to manage all our programmes. Further, we have a team of 14 Programme Managers and Associates to focus on each vertical within our interventions. We also collaborate with DMart Foundation, Expert Partners and NGOs for some of our initiatives.
3. **Have you done any impact assessment of your initiative?**
 The dedicated in-house team monitors the number of beneficiaries impacted by the Company's CSR initiatives and the same is presented to the CSR Committee periodically. We also periodically carry out an impact assessment of our programmes through reputed and independent third party firms that specialize in this area. The same is presented to the CSR Committee for their consideration.

Impact assessments for below mentioned CSR projects were carried out by the Company:

1. Establishment of specialty hospital for treating mouth & throat Cancer (CanCare Trust)
2. Promoting Sports (Olympic Gold Quest-OGQ)
3. Coaching Courses for JEE & NEET for Govt. School students (Dakshana India Educational Trust)
4. COVID-19 relief project

These reports are available on the Company's website: <https://www.dmartindia.com/investor-relationship>

4. **What is your company's direct contribution to community development projects amount in INR and the details of the projects undertaken.**

The Company has contributed ₹29.13 crores during the FY 2021-22 towards community development projects. Further, ₹2.16 crores has been transferred to Unspent CSR Account as per section 135(6). The details of these projects are mentioned in Annexure IV of the Directors Report.

5. **Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.**

We conduct post impact assessment for all our CSR initiatives which help us understand the effectiveness of these programmes. Based on the outcome of these assessments, the Company plans corrective measures wherever necessary.

Principle 9: Businesses should engage with and provide value to their customers and consumers in a responsible manner

1. **What percentage of customer complaints/consumer cases are pending as on the end of financial year.**

There are 143 ongoing consumer complaints as on 31st March, 2022 of which 94 pertain to charging for carry bags.

2. **Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes / No / N.A. / Remarks (additional information)**

The Company is a national supermarket chain with focus on value retailing. Majority of the products are procured from reputed third party vendor/ manufacturers/ distributors which are directly sold to the customer. However, we also procure some goods from other vendors which are repacked at our locations.

Hence it is our constant endeavor to engage with our entire vendor ecosystem and we seek to ensure that all our vendors adhere to proper labeling indicating content, safety and handling of the products which we sell.

3. **Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behavior during the last five years and pending as on end of financial year.**

There is one case pending before the judicial authorities for trademark infringement since March 7, 2017.

4. **Did your company carry out any consumer survey / consumer satisfaction trends?**

Customer satisfaction is one of the key objectives of our business operations. Our store personnel interact with customers frequently to understand their experience and take their feedback on our services. This helps us to improve our service quality and enhance customer satisfaction. We also encourage our customers to share their valuable feedback with us and have made available several channels which they can use to reach us. Some of those are:

- Customer Care Desk at each store
- Feedback/ Complaints Register at stores
- Feedback section of our corporate website
- Central customer care help line number
- Electronic mail